

Chris Giles on Central Banks **US inflation**

'Tis the season to be happy (about US inflation)

Latest figures put Fed on a glide path towards monetary easing



Jay Powell will be even happier after the latest US inflation figures © PETE MAROVICH/EPA-EFE/Shutterstock

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Published JUL 16 2024

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A cheerful Jay Powell took to the comfy seats at the Economic Club of Washington DC on Monday, basking in the latest US inflation data that suggests the Federal Reserve has inflation licked. Its chair had told Congress last week he wanted to see “[more good data](#)” before cutting rates and [the CPI](#) duly obliged.

“In the second quarter, actually, we did make some more progress” in getting inflation durably down to 2 per cent, Powell said, adding that “the three readings in the second quarter, including the one from last week, do add to confidence”.

The extent of the good news in the CPI data is shown in the table below. While the headline and core annual rates were still significantly above the 2 per cent inflation target at 3 and 3.3 per cent respectively, the more recent data has been much more favourable. Annualised core inflation data from June was below 1 per cent and the three-month annualised data shows a core rate, excluding food and energy costs, of 2.1 per cent.

Excluding shelter brings the core rate down to target, and services excluding shelter, having been very high, has moderated significantly over the past three months of data. It is still high on an annual basis, but coming down.

The only aspects of the table below showing lingering inflationary pressure are the weighted median and the trimmed mean measures of inflation, produced by the Cleveland Fed. These are still significantly higher than other measures, especially in recent months. This suggests that much of the decline in monthly inflation has come in more volatile components — fresh fruit and appliances in the latest data saw particularly large drops in price.

In the latest month, however, even the median and trimmed mean are nothing to worry about, with annualised readings of 2 and 2.4 per cent respectively.

Recent good data suggests US inflation is under control

Data up to June

	1m	3m	6m	12m	Weight in PCE
Headline	-0.7	1.1	2.8	3.0	1
Core	0.8	2.1	3.3	3.3	80
Core ex-shelter	-0.3	0.6	2.0	1.8	43
Services ex-shelter	0.4	1.1	4.8	4.8	28
Median	2.4	3.2	4.2	4.2	
Trimmed mean	2.0	2.3	3.4	3.3	
Median of measures	0.6	1.6	3.3	3.3	

One other thing to note in the table above is that the six-month annualised inflation figure is not much lower on most of the measures than the 12-month annual rate. In other words, inflation did not slow in the first half of 2024 compared with the second half of 2023.

It is important not to take that argument too far. This pattern in the data is the odd result of three pretty good sets of US inflation data in April, May and June following three pretty terrible ones.

If the data is compared with the same analysis for CPI inflation up to April this year, the improvement is plain to see. Then, the figures were too high across the range of measures and time periods. Now, the latest data is much more encouraging. The expectation should be that further months of progress will soon feed through into annual comparisons as long as there is not another reversal of the trends.

A few months ago, US inflation remained too high across the board

Data up to April

	1m	3m	6m	12m	Weight in PCE
Headline	3.8	4.6	3.7	3.4	1
Core	3.6	4.1	4.0	3.6	80
Core ex-shelter	2.7	3.4	2.9	2.1	43
Services ex-shelter	2.7	6.9	6.7	4.9	28
Median	4.3	4.4	4.8	4.5	
Trimmed mean	3.3	3.6	3.9	3.5	
Median of measures	3.4	4.2	4.0	3.6	

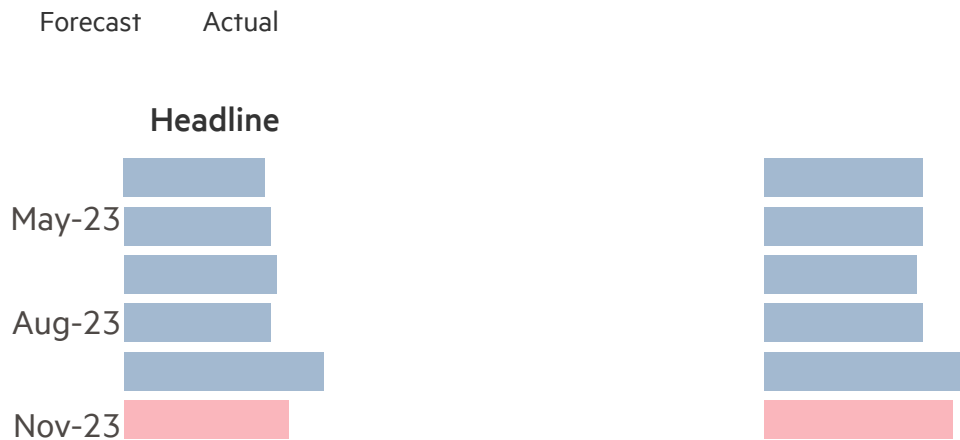
Better than forecasters feared

A second important check on the CPI figures comes from comparing them with forecasts produced by economists. These give us some cheer and some reasons to temper our enthusiasm. The cheer comes because the second quarter's annualised inflation rate is significantly lower, both on headline and core, than professional forecasters expected as recently as May.

Inflation outcomes in the second quarter were still higher than economists expected in the four preceding forecasts, but much of that resulted from the knock-on effects of much worse than expected first-quarter inflation than hoped.

US professional forecasters got too nervous about inflation after the bad first quarter

Forecast inflation for Q2 2024 and date of forecasts
Quarterly rate annualised (%)



Seasonality in prices

The evidence therefore suggests that there was a surprise jump in prices in the first quarter with largely well-behaved inflation trends in the second quarter. This has led some economists to blame seasonal patterns in corporate pricing decisions for the inflation trends.

Most vocal among these was Nobel laureate Paul Krugman, who took to X to say there was [excess seasonality](#) in the data and that the US has solved its underlying inflation problem.

“That bump in inflation earlier this year — core CPI 4.4 per cent — really looks like start-of-year price resets. Core for the past three months only 2 per cent. Fed’s gotta cut,” he said.

This raises an interesting practical question. Was it just new year price changes that gave the Fed an unnecessary inflation scare earlier this year? I’ve grouped CPI changes since the great moderation in the chart below by month and highlighted the latest year in red.

Looking first at the headline CPI, it is clear from the first panel that US monthly inflation has clear seasonal patterns. Price increases are generally much higher in January and February than in November and December, for example, in the non seasonally adjusted data. Seasonal adjustment in the second panel significantly smooths the monthly pattern with the box plots roughly in line.

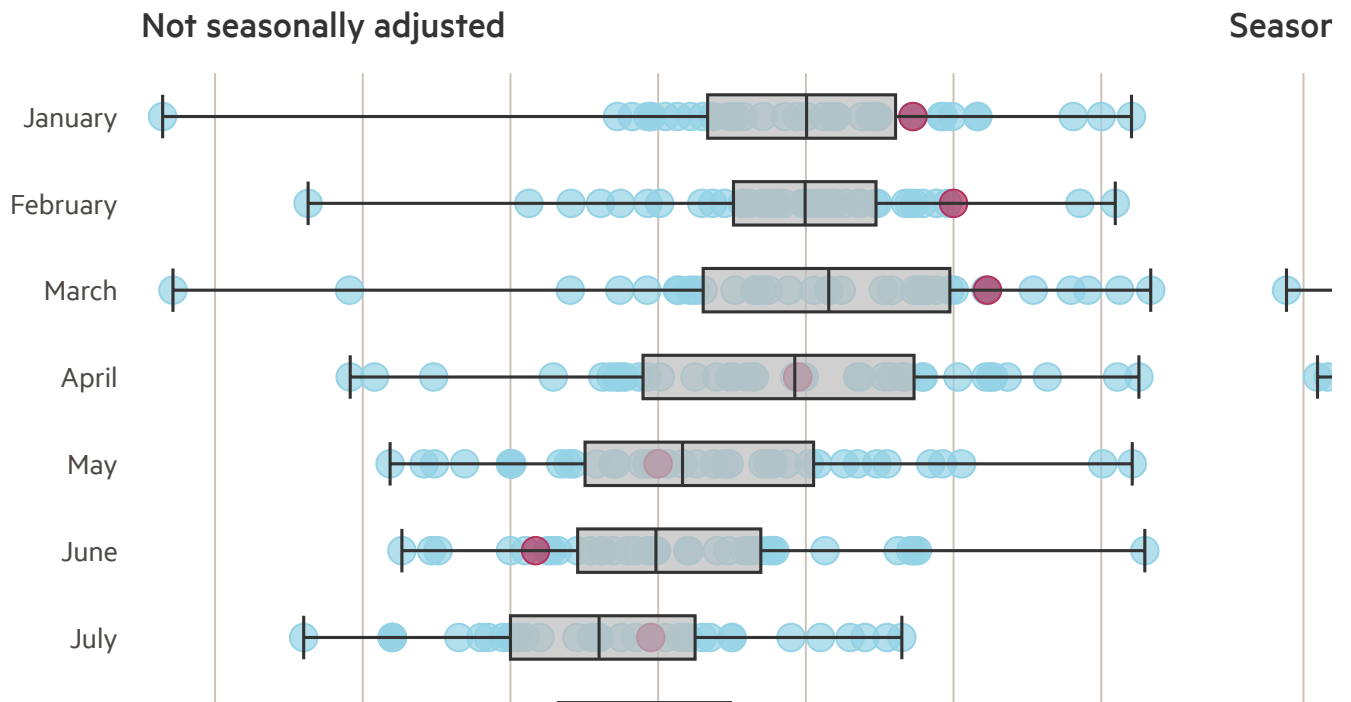
The data in the first three months of 2024 were unusually high on both of the charts, however, suggesting this is not just a resetting of prices in a new year. Potentially, companies have become more prone to raising prices at the start of the year, but this would be a new seasonal pattern and it is more likely that inflation was just high in January, February and March.

By contrast, there is little doubt that June's published figures were much better than normal for June. Again that could be a new seasonal pattern which the Bureau for Labour Statistics has not taken account of yet, but it is more likely that the data was just rather good.

June was a brilliant month for US inflation however you look at it

Monthly CPI increase (%)

Datatype Latest year



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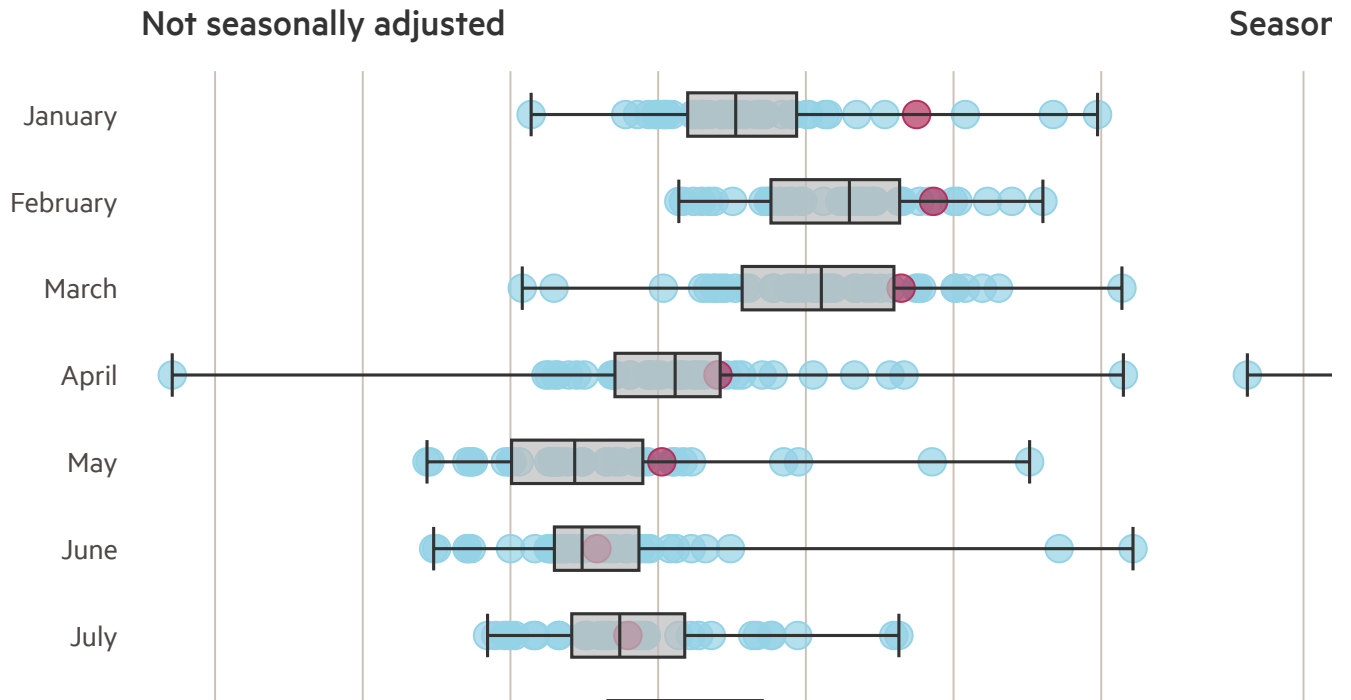
Sources: St Louis Fed, FT calculations • Historical values based on 1985 to 201

The same analysis is possible with core inflation and it shows the same results. Last week's CPI data was simply rather good on any basis and better than you can normally expect given historical seasonal patterns. No wonder Powell and his fellow members of the Federal Open Market Committee are [feeling pretty chipper](#) at the moment.

June was a brilliant month for US inflation however you look at it

Monthly core CPI increase (%)

Datatype Latest year



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Sources: St Louis Fed, FT calculations • Historical values based on 1985 to 201

What I've been reading and watching

In her latest column, Soumaya Keynes looks at the [burgeoning research](#) into household inflation expectations. A smallish group of people in the US are now expecting higher inflation for longer, but no one seems too worried

For lovers of alternative and up-to-date data, Indeed came out with some rather [strong wage growth](#) numbers last week. There were some huge jumps in the Eurozone and the UK still looks very high. European central banks will hope these are a blip or an example of low quality data. It is something to watch

Nikkei Asia took a guest column by Masaaki Shirakawa, former Bank of Japan governor. He has burnished [his hawkish reputation](#) suggesting the BoJ raises rates and does not worry about low inflation. He thinks it would stimulate the economy

ECB staff [are complaining again](#) — this time about stress levels at work. But the survey undertaken by the staff committee drew a low response rate, with 1,602 of the 5,089 staff taking part

A chart that matters

Two weeks ago I [asked for your view](#) on whether central bankers were lucky or smart in reducing inflation. The [results](#) are below, along with my vote.

Nearly everyone agreed that the options were not mutually exclusive but there was a bigger cluster of informed opinion suggesting they were lucky (45 per cent) than they were smart (34 per cent).

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